

Bhārat Foods & Beverages Co.

FMCG Distribution Analytics · Q2 FY2026

800 distributors, 9 product categories, ₹120 Cr in primary sales, and ₹40 Cr of investment capital to deploy. Here's what the data says about where to put it.

Prepared for: CMD, CFO, National Sales Head · October 2025

GT+MT is the growth engine, Health Foods growth is a mirage, Tier 2/3 is 0.9% penetrated — one ₹40 Cr plan

Executive summary · Three findings, one investment recommendation

①

GT+MT distributors growing 4× faster — but only 18% of the network

GT+MT grew +28.6% Apr→Sep vs GT-only +7.6%. GT+MT avg per distributor: ₹16.6L vs ₹14.7L (+13%). Only 143 of 800 distributors have Modern Trade access. The network is structurally underinvested in GT+MT — the highest-growth configuration.

②

Health Foods 81.6% growth is promo-propped — the data behind the headline is alarming

Health Foods looks like the star performer: +81.6% growth. But return rate is 31.6% (vs 3.5% for Biscuits). Scheme cost is 19.8% of sales. Net scheme ROI = 3.46x — below the 5x launch benchmark. Beverages is in decline at −7.7% with Sec/Primary ratio of 0.07 in Tamil Nadu.

③

Tier 2+3 is 0.9% penetrated in a ₹5,321 Cr market — structural whitespace

Tier 2 growing +19.8%, Tier 3 growing +27.5%. But Bharat Foods current Tier 2+3 sales are ₹46.6 Cr out of a ₹5,321 Cr total market — 0.9% penetration. Even 2% penetration = +₹60 Cr revenue. This is the highest-expected-value investment bet.

★ ₹40 Cr Investment Recommendation

(1) ₹15 Cr → New Tier 2 distributor appointments (0.9% → 1.5% penetration target). (2) ₹8 Cr → GT→GT+MT conversions (add Modern Trade access to 50 high-potential GT distributors). (3) ₹8 Cr → Biscuits + Snacks volume deepening. (4) ₹5 Cr → Beverages pull activation in Tamil Nadu and Maharashtra. (5) ₹4 Cr → ASM + distributor health programme (address 28% not visited in 60+ days). **Health Foods: ZERO incremental Q3 spend until return rate and scheme ROI are fixed.**

● SECTION 01

How a senior analyst approaches FMCG.

FMCG distribution analytics has a different vocabulary — primary sales, secondary pull, Sec/Primary ratio, scheme ROI, distributor health. But PRISM is identical. The analytical discipline is the same. The domain changes; the thinking doesn't.

PRISM applied to FMCG distribution — the same five steps, a new domain

Each step applied specifically to the Bharat Foods case.

P

Problem

CMD asks: 'Where do we put the ₹40 Cr?' The real decisions: (1) which channels, tiers, and categories are actually healthy vs promo-propped, (2) which distributors are drag on the network, (3) given both, how do we allocate capital for the highest risk-adjusted return.

R

Reframe

Five sub-questions: (1) GT+MT vs GT-only productivity — is Modern Trade access a growth driver? (2) Which city tiers have whitespace? (3) Is category growth organic or scheme-dependent? (4) Which distributors are underperforming — build a scoring model. (5) Given 1-4, allocate ₹40 Cr.

I

Investigate

Three critical joins: Primary_Sales → Distributors (adds tier, channel type); Trade_Schemes → Primary_Sales (adds scheme cost per category); Returns → Primary_Sales (computes return rate). **Without the scheme join, Health Foods looks like the star category. With it, scheme ROI = 3.46x — below the 5x launch threshold.**

S

Solve

Six cuts: channel × growth, tier × growth × penetration, category × growth/return/scheme ROI, distributor × sales/overdue/visits, state × Sec/Primary, SKU × contribution. **Health Foods' 81.6% growth disappears under decomposition. Tier 2+3 whitespace only appears when you compute penetration vs market size.**

M

Measure

Two capstone deliverables: (1) Distributor Health Score — 0-100 scorecard with feature weights, at-risk list, and intervention programme. (2) ₹40 Cr Investment Model — every allocation data-grounded, every expected return quantified. CMD/CFO/Sales Head each get a tiered view.

◆ What makes Project 3 different

Two capstones instead of one. Q4 (Distributor Health Score) is the operational layer — who is underperforming and why. Q5 (₹40 Cr Investment) is the strategic layer — where do we deploy capital. The best analyses close the loop: Q4's Critical distributor list directly informs Q5's distributor upgrade budget.

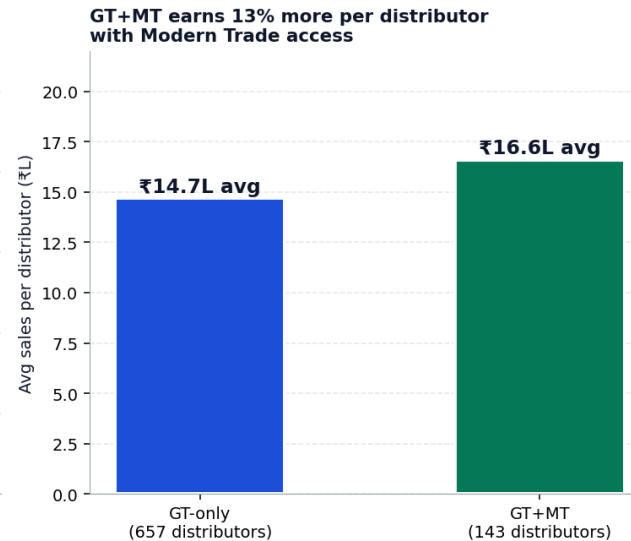
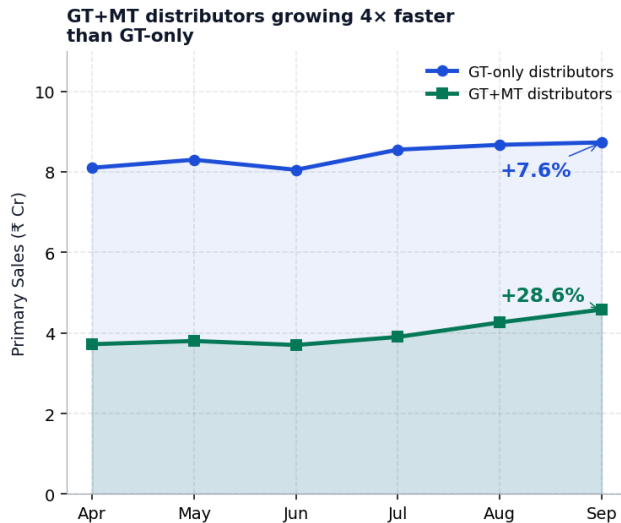
● SECTION 02

What the data says.

Five views: channel mix, tier expansion opportunity, category health, distributor risk signals, and investment whitespace. Every view answers a different stakeholder's question.

GT+MT distributors growing 4× faster — with 13% higher per-distributor productivity

Q1: Channel mix analysis



The 4× growth differential

GT+MT: +28.6% Apr→Sep. GT-only: +7.6%. For context: both are growing, but GT+MT is compounding faster.

The productivity premium

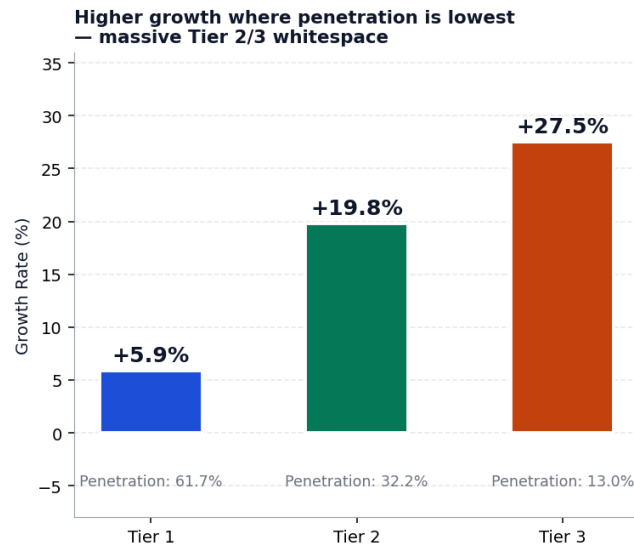
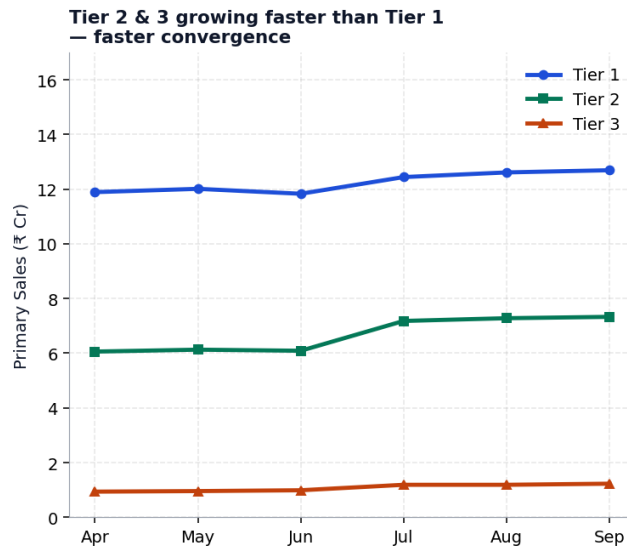
GT+MT distributors average ₹16.6L vs GT-only ₹14.7L — a 13% premium per distributor driven by Modern Trade shelf access and wider consumer reach.

The structural gap

Only 143 of 800 distributors (18%) have GT+MT configuration. The majority of the network is locked out of the fastest-growing channel. **Converting 50 GT→GT+MT is the highest-return network investment.**

Tier 2+3 growing faster than Tier 1 — and is 0.9% penetrated in a ₹5,321 Cr market

Q2: City tier expansion analysis



The growth signal

Tier 1 +5.9% · Tier 2 +19.8% · Tier 3 +27.5%.
Faster growth in lower tiers where penetration is lowest — a natural whitespace signal.

The penetration gap

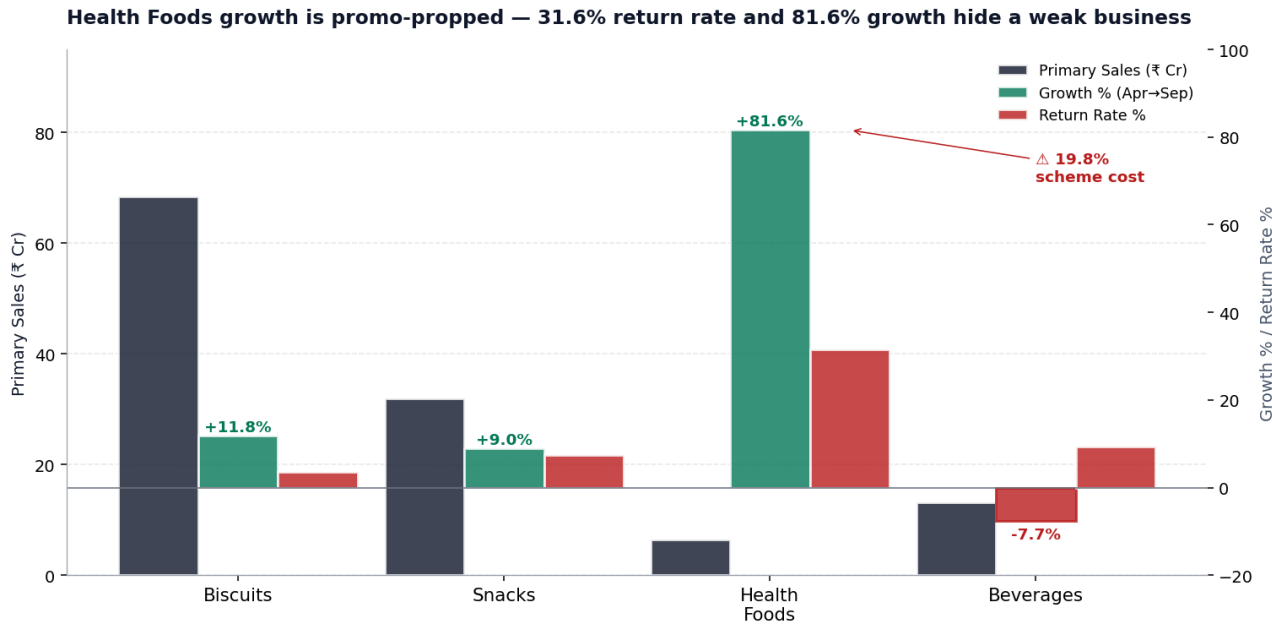
Tier 1 penetration: 61.7%. Tier 2: 32.2%. Tier 3: 13.0%.
Tier 2+3 combined market = ₹5,321 Cr.
Current sales = ₹46.6 Cr = 0.9%.

The opportunity math

Every 0.1% penetration gain in Tier 2+3 = ₹5.3 Cr incremental revenue. Target: 1.5% penetration by Q4. Investment needed: ~₹15 Cr for distributor appointments + trade support.

Health Foods growth is a promo-propped mirage — Biscuits and Snacks are the real engines

Q3: Category health scorecard



Biscuits + Snacks

₹100.5 Cr combined (84% of total). Healthy return rates (3.5% and 7.4%). Consistent growth. These are the backbone — scale with confidence.

Health Foods — the mirage

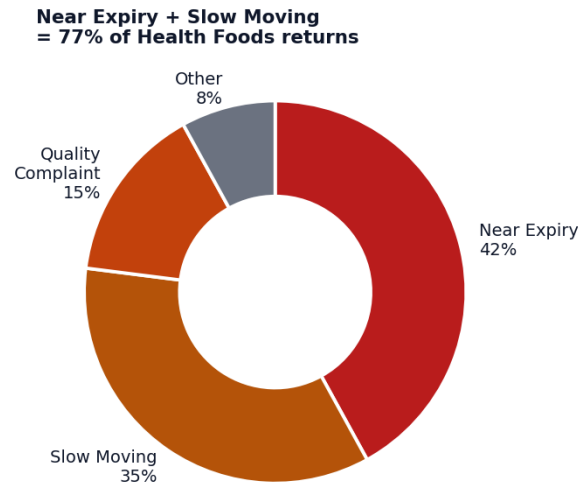
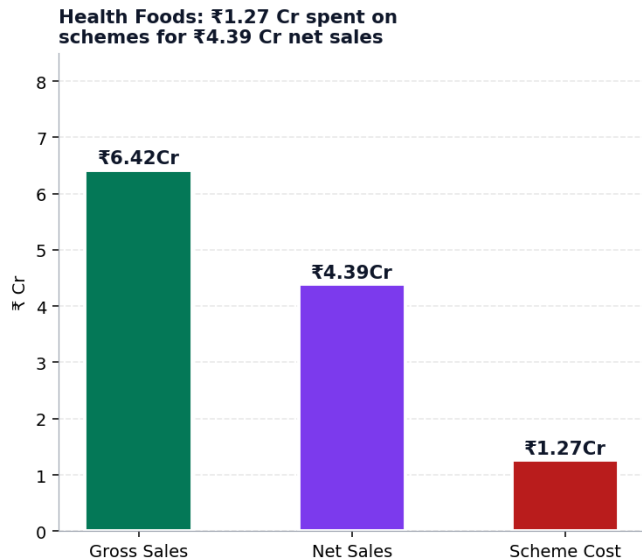
81.6% growth masks 31.6% return rate and 19.8% scheme cost. Net scheme ROI 3.46x vs 5x benchmark. **The category only grows when you spend — and a third of what you ship comes back.**

Beverages — the decline

–7.7% primary growth. Tamil Nadu Sec/Primary = 0.07 — consumer pull nearly absent in the largest state by volume. Distribution quality problem, not a consumer demand problem.

Health Foods deep-dive: three numbers that change the Q3 investment decision

Q3 deep-dive: Gross vs net vs scheme cost



The three numbers

Gross sales: ₹6.42 Cr (impressive headline)

Returns: ₹2.03 Cr (31.6% return rate)

Scheme cost: ₹1.27 Cr (19.8% of gross sales)

The ROI math

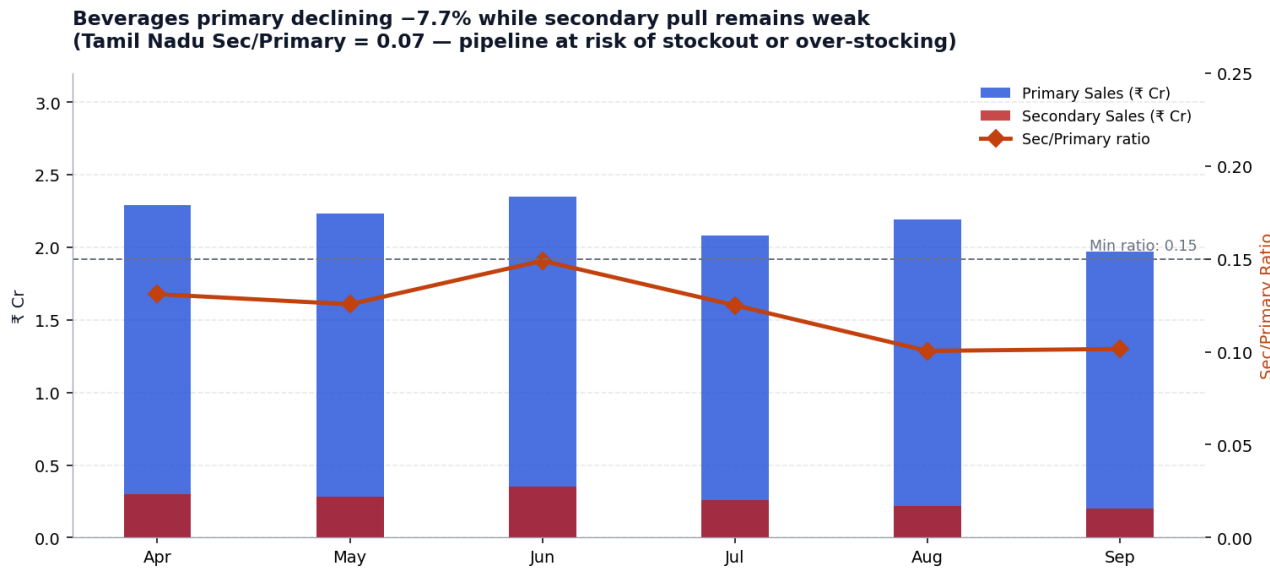
Net sales ÷ Scheme cost = ₹4.39 Cr ÷ ₹1.27 Cr = 3.46x. Against a 5x+ benchmark for new category launches. **Below threshold.**

Why returns are so high

Near Expiry (42%) + Slow Moving (35%) = 77% of Health Foods returns. These are distribution mismatches — product pushed too aggressively into channels that can't turn it. Fix distribution before scaling.

Beverages declining –7.7% — secondary pull near zero in South India

Q3 deep-dive: Beverages Sec/Primary ratio analysis



Primary declining

₹2.29 Cr in April → ₹1.97 Cr in September = –7.7%. Distributors are buying less — either because consumers aren't buying or distributors are overstocked from previous pushes.

Secondary pull is the signal

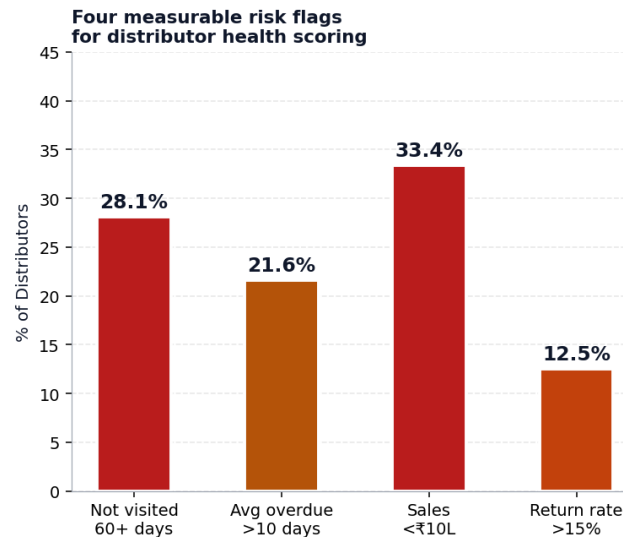
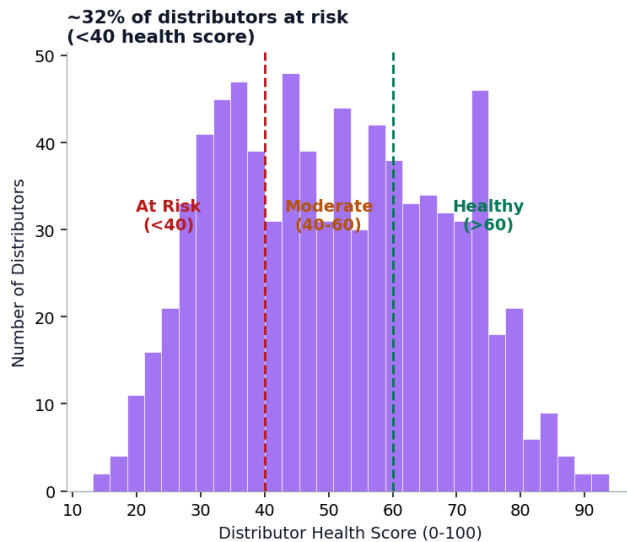
Sec/Primary ratio = secondary sell-through divided by primary push. Tamil Nadu = 0.07 (₹7 in ₹100 selling through to consumers). Maharashtra = 0.17. Kerala = 0.22. These states need pull activation before any additional push.

The intervention

₹5 Cr of ₹40 Cr investment goes to Beverages pull activation: consumer promotions, BTL activations, merchandising refresh in Tamil Nadu and Maharashtra specifically.

28.1% of distributors not visited in 60+ days — network bleed at scale

Q4: Distributor Health Score — inputs, model, and at-risk list



The four risk flags

28.1% not visited 60+ days · 21.6% avg overdue >10 days · 33.4% sales <₹10L · ~12.5% return rate >15%

The revenue implication

225 distributors not visited in 60+ days × avg ₹15L sales = ₹34 Cr of annual revenue at risk of network dropout.

The Health Score model

6 features: sales volume (25%), payment overdue (22%), visit recency (18%), return rate (17%), months active (10%), tenure (8%). Tiers: Healthy (60+), Watch (40-60), Critical (<40).

The action

Critical distributors → ASM visit within 7 days.
Watch tier → field support and credit review. ₹4 Cr of ₹40 Cr investment funds this programme.

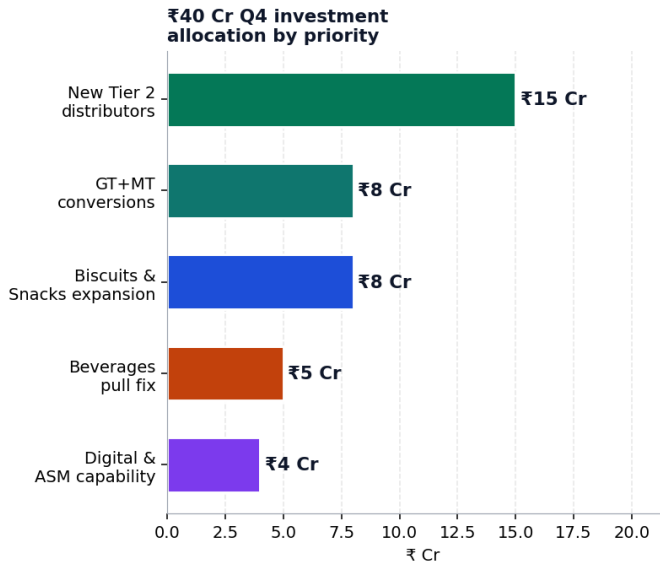
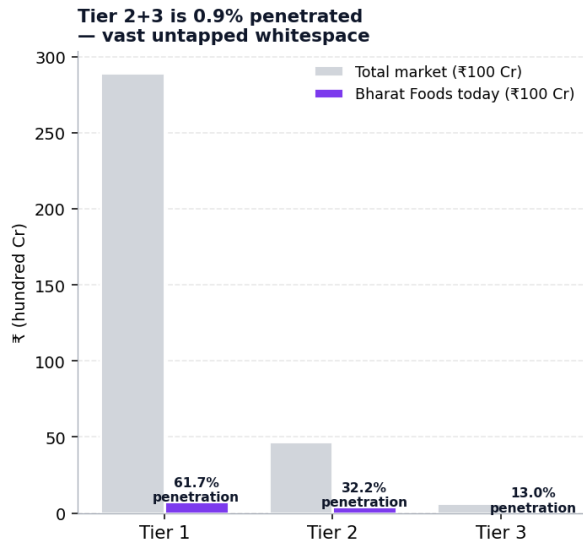
● SECTION 03

Where the ₹40 Cr goes.

Every rupee data-grounded. Every allocation flows from Q1-Q4 findings. No allocation is arbitrary — each has a specific expected return and a specific question number that justifies it.

₹40 Cr Q3 investment allocation — quantified, grounded, with explicit caveats

Q5: Investment strategy



Bucket 1: Tier 2 expansion (₹15 Cr)

0.9% penetration in ₹5,321 Cr market. Target 1.5% penetration = +₹32 Cr revenue. Appoint 80 new Tier 2 distributors + trade support.

Bucket 2: GT→GT+MT conversions (₹8 Cr)

50 high-potential GT distributors converted to GT+MT. At +13% productivity premium = +₹5-8 Cr annual incremental.

Bucket 3: Biscuits + Snacks deepening (₹8 Cr)

Healthy categories, healthy returns. Volume expansion + SKU mix upgrade.

Bucket 4: Beverages pull activation (₹5 Cr)

Consumer promotions + BTL in Tamil Nadu + Maharashtra.

Bucket 5: ASM + distributor health (₹4 Cr)

Retention programme for the Critical distributor tier. **Health Foods: ₹0. Pause scaling; fix returns first.**

One analysis, three readings — what each stakeholder takes away

Stakeholder-tiered communication

CMD	Deploy ₹40 Cr in Q3. Priority order: Tier 2 expansion (₹15 Cr), GT+MT conversions (₹8 Cr), Biscuits/Snacks deepening (₹8 Cr), Beverages pull fix (₹5 Cr), distributor health programme (₹4 Cr). Zero incremental spend on Health Foods until return rate fixed. Expected 2-year incremental revenue: ₹55-75 Cr.
CFO	₹40 Cr investment generates highest return via Tier 2 expansion (₹32 Cr incremental at 1.5% penetration) and GT+MT conversions (₹5-8 Cr annual). Health Foods scheme cost ₹1.27 Cr generating 3.46x ROI — below 5x benchmark. Recommend halting scheme spend on Health Foods until returns are reduced from 31.6%.
Sales Head	Distributor health is the operational priority: 225 distributors not visited in 60+ days. Immediate ASM re-routing. Tier 2 expansion: 80 new distributor appointments with credit terms. Tamil Nadu Beverages: pull campaign before next primary push.

★ The cross-capstone connection

Q4 (Distributor Health Score) directly feeds Q5 (Investment Strategy). The ₹4 Cr ASM + distributor health bucket is exactly sized for the Critical distributor intervention programme from Q4. This is what the rubric's 'Cross-Section Integration' dimension (10%) tests: does Q5 treat Q4 as an input, or as a separate exercise? **The best analyses close the loop.**

Appendix — methodology, assumptions, open questions

Transparency on inputs · key assumptions · what the data can't tell us

Topic	Approach
Data sources	Bharat_Foods_FMCG_Data.xlsx — 9 sheets, ~76K rows. Primary (30.7K), Secondary (38.4K), Returns (5.5K), Distributors (800), Schemes (94), SKUs (22), City_Demographics (50).
Growth rate	Apr-May baseline vs Aug-Sep recent period. 6-month trend to smooth seasonal noise.
Scheme ROI	= Net primary sales (after returns) ÷ Total scheme cost by category. Health Foods = ₹4.39 Cr ÷ ₹1.27 Cr = 3.46x.
Penetration	= Current Bharat Foods sales ÷ Estimated total market (from City_Demographics). Tier 2+3 = ₹46.6 Cr ÷ ₹5,321 Cr = 0.9%.
Sec/Primary ratio	= Secondary sales value ÷ Primary sales value by state/category. Measures actual consumer sell-through vs trade push.
Health Score	Weighted scorecard across 6 features. See Q4 analysis sheet in workbook.

◆ Open questions for Q3

(1) What's causing Health Foods near-expiry returns — is the distribution network being over-allocated or is shelf life too short? (2) Is Beverages' decline seasonal or structural? Tamil Nadu Sec/Primary = 0.07 suggests structural pull weakness. (3) Which specific Tier 2 cities show the best penetration growth rates — for prioritised distributor appointment? (4) What's the minimum viable ASM visit frequency to prevent distributor dropout?

Bhārat Foods & Beverages Co. — Q2 FY2026 FMCG Review · Solution Deck v1.0 · Companion to Bharat_Solution_Workbook.xlsx · Model 90th-percentile submission · PRISM framework applied · Educational use.